



**QUIDEL THIRD QUARTER 2021
CONFERENCE CALL SCRIPT
Thursday, November 4, 2021
2:00 p.m. PT/ 5:00 p.m. ET**

FINAL

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation third quarter 2021 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Ruben Argueta, Quidel's Director of Investor Relations. Please go ahead.

Ruben Argueta

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our President and Chief Executive Officer, Doug Bryant, our Chief Financial Officer, Randy Steward, and our VP of Finance, Kristin Caltrider.

Our third quarter 2021 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on November 4, 2021, for a period of 24 hours.

Please note that some of the information we provide during today's conference call constitutes forward-looking statements. Forward-looking statements by their nature involve material risks, assumptions, and uncertainties. In particular, our expectations and assumptions around the impact of the COVID-19 pandemic on our business, results of operations, and financial condition and that of our suppliers, customers, and other business partners are highly uncertain, continuously evolving, and unpredictable. Actual results may differ materially from the forward-looking statements due to various important

factors, including the risk factors discussed in our most recent 10-K and subsequent periodic reports and registration statements filed with the SEC. Furthermore, this conference call contains time-sensitive information that is accurate only as of today. Except as required by law, we undertake no obligation to update these forward-looking statements or time-sensitive information, which speak only as of today.

Today, Quidel released financial results for the three and nine months ended September 30, 2021. If you have not received our earnings release, or if you would like to be added to the company's distribution list, please contact me at 858-646-8023.

Following Doug's comments, Randy will briefly discuss our financial results. Then, we'll open the call to take your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Thank you, Ruben. And welcome to everyone on the call. We really appreciate your time and interest in Quidel.

I want to start by recognizing the entire Quidel team for their commitment to their teammates and communities. We started the pandemic with both grave uncertainty and the label of 'essential

workers.’ We’ve all been affected and bonded by it. Because of our culture, that pressure only motivated us to lead the industry’s response to the pandemic: to develop new assays, drive discoveries on new platforms, manufacture at unprecedented scale, and keep that production growing despite supply chain challenges and concerns over the rapidly changing environment.

Our team did it all despite personal and family concerns, and long hours – day and night. Their efforts have been heroic, and their impact on this country has been lifesaving on a level that can never be fully charted.

While others balked, we never wavered.

But what our people have done for our company *can* be measured...at least in part. Because what we are discussing today only boils down to the results from a single quarter.

But step back for a moment and consider: the U.S. has weathered several COVID spikes; our Quidel teams have been asked by our country to do – and have done – what was previously considered impossible: to go from ‘Zero to Sixty’ in multiple categories of COVID diagnostics and take those innovations to scale at lightning speed. In

the process, Quidel has transformed into an enterprise that is far more than ‘essential,’ we are ‘purposeful.’ We have delivered on our foundational purpose of advancing diagnostics to improve human health... when it *really* counts. And that is a far more important metric to our Quidel family than any numbers we discuss today.

Nevertheless, the numbers reflect the effort.

We delivered solid 7% revenue growth from the third quarter of 2020, which was previously our strongest third quarter ever for revenue.

We further broadened our installed base of Sofia[®] analyzers to just over 74,000 instruments in the field, expanding our base to support influenza A/B, RSV, strep, and of course COVID, as well as numerous other diagnostic assays in our portfolio. The year-on-year expansion is explosive and has long-term implications for our diversified business going forward.

Demand for our SARS products continued, with Quidel shipping over 45 million SARS tests in the third quarter of 2021 across all platforms. And we strengthened our beachhead for COVID testing in the retail segment, partnering with Walgreens and CVS to grow our presence in

pharmacies. When combined with our other major and independent retail partners, we are seeing strong demand – and consumer awareness in the Quidel brand is rising with it. We are proud to have led the effort to decentralize and democratize COVID-19 rapid antigen testing into this new market. And I would add that we are proud to have devoted a portion of that production to support our charitable, government, and sports league partners to bring our advanced diagnostics to serve many of the minority and underserved communities hardest hit by COVID-19 infections.

As noted in our earnings release, we are working to fulfill a federal government award originally estimated for 51 million QuickVue® At-Home OTC COVID-19 Tests with a dollar value of approximately \$284 million. A recent order suggests that purchases could grow to approximately 100 million QuickVue tests.

In any event, we believe the implications of these positive developments will extend well beyond a single quarter.

While we are now, thankfully, seeing declining COVID infections, we still believe that symptomatic and asymptomatic diagnostic testing is crucial to keeping the disease and its variants at bay. We believe that there will

be continued demand for COVID-19 rapid antigen testing for at least the next few quarters. But I would emphasize that the unpredictability of this pandemic makes everything fluid and a firm baseline level of demand is still too early to call.

Looking beyond our COVID categories, our non-seasonal core business is stable. In fact, the revenue for this business, excluding influenza and COVID-19 products, grew 2% to \$93.3 million, as compared to \$91.4 million in the third quarter of 2020.

There has been no significant distribution stocking for influenza products, so we remain poised to meet the needs of the market should a normal flu season arrive. We expect our non-COVID business to strengthen further in the coming months as flu season kicks off, supported by our incremental Sofia placements and the opportunity to increase utilization of the platform, not to mention the launch of new Sofia gastrointestinal assays, and the launch of Savanna[®], just to name a few.

But if we pull back to look at the big picture, due to manufacturing capacity constraints, we are primarily playing in the pharmacy segment of the OTC space and have made limited in-roads beyond that. We

have been cautious in partnering with more large players until we are able to fulfill their volume requirements in a timely manner. That said, we expect that once we get our Rutherford facility fully operational, we can sign on other large retail and corporate partners. Moreover, we believe this new OTC market will bode well for the rest of our point-of-care respiratory assays going forward.

Another reason for the limited launch into retail is the large government contract we were awarded in the third quarter 2021, which we originally estimated to be approximately \$284 million in revenues. We have recently received their order for over \$500 million and expect that it will take time to fulfill the order, likely into the third quarter 2022. We have a good idea as to how this order will be broken up in terms of volume and revenue between the subsequent quarters, but a lot of it depends on how quickly we are able to validate and fully scale our manufacturing capacity at Rutherford, and what new critical components and unknowns we will need to solve at those considerably larger volumes. We face the same supply chain challenges facing everyone from manufacturers to consumers, but I'm pleased to say that we've done quite well in resolving them so far.

Speaking of our manufacturing capacity, our manufacturing and operations teams really stepped up this past quarter, as they have been doing since the beginning of this global health crisis. Due to the extraordinary efforts of these teams, in the third quarter 2021 we manufactured and shipped the largest volume of tests ever produced and shipped in any quarter in Quidel's history and are also on-track to reach our target run-rate capacity of approximately 70 million rapid antigen tests (50 million QuickVue and 20 million Sofia) per month by the end of the year.

In the third quarter 2021, we also were pleased to see continued strength of our Lyra[®] PCR sales, given that the assay requires no proprietary instrument and there's a large number of competitors offering similar solutions. We believe our Lyra sales signal two important trends: first, a heightened brand reputation among PCR labs; and second, a strong, longer-term underlying cohort of potential Savanna customers, as they see the value of adopting a system that is one-of-a-kind in terms of speed, ease-of-use, assay menu and price. I'll touch more on Savanna later.

Taken all together, we believe the ebbs and flows of COVID-19 demand for Sofia, QuickVue and Lyra are a net positive for us in the short-term

and position the business favorably for a world where either COVID-19 reaches the endemic stage, or it completely abates. As I've said before, it is very difficult to provide a baseline COVID revenue number that I can confidently call a "floor" until we have completely fulfilled the government order, which we estimate to take place within the next couple quarters.

Let me turn now to the progress made on our product pipeline during the third quarter 2021.

On the COVID-19 side of the business, we are working on a QuickVue combination test for Flu A, Flu B and COVID-19, and hope to submit that test to the FDA within the next few weeks. We also have a few other tests in the works, and I plan to share more on those as they get closer to launch.

On the non-COVID side, we have several Sofia gastrointestinal assays that we believe can increase the clinical utility of the Sofia instrument and provide additional placement opportunities within hospitals and other moderately complex medical settings. Admittedly, these assays have been taking a bit longer than we had hoped, but this delay is well

worth the trade-off we made in tackling COVID-19. We expect to launch several of these assays next year.

On the Triage side, we initiated our clinical trial for our high sensitivity Troponin test early in the year and are hoping to complete it near the middle of next year. If we are able to realize the claims that are competitive with, or better than, large lab analyzers, we think this could be a nice growth driver for us. Behind that, we have our test for placental health, PIGF, which could also be a meaningful contributor to growth in the U.S. market.

Regarding our molecular business, we received CE Mark for our Savanna instrument and RVP4 respiratory cartridge in Q3 and are launching Savanna outside the U.S. Savanna is our multiplex molecular diagnostic analyzer, which will further extend our pipeline through integrated sample prep combined with rapid, real-time PCR amplification and detection technologies, making it ideal for syndromic testing in hospitals and moderately complex labs, with the goal of eventually accessing physician offices, urgent care clinics and other point-of-care locations. Like other manufacturers, we have been challenged by shortages in a critical component. We have since resolved this supply issue, but expect supply chain challenges to persist

off and on into 2022. We are planning to launch Savanna by the end of this year in select markets outside the U.S. We are very excited about the future of this product.

Lastly, I'd like to talk about capital allocation. Investing in the future growth of the business, either by funding R&D or increasing our manufacturing capacity, continues to be the biggest priority, followed by M&A. Regarding M&A, we continue to actively look at opportunities within our funnel, but highly value strategic fit. We want to stay in diagnostics and like businesses that can expand our international reach, or products that can fit within our commercial channel. We aren't interested at this time in technologies that are far away from commercialization. So, we have a set of criteria, we're looking, and stand ready to deploy capital to further strengthen our product portfolio should the right opportunity present itself.

To wrap up, the third quarter of 2021 proved to be another strong quarter and an important step forward in our long-term game plan. We were fortunate in that we stuck to the game plan all year and were focused on increasing manufacturing capacity. Our product platforms and offerings have never been more robust. Our productivity is up

across the board. And our market penetration is deeper and wider than ever before.

We believe we are well-positioned for the future: our products are exceptional, we've continued to add customers, entered new markets, added incremental Sofia placements on multi-year contracts, and have made inroads toward establishing a brand name that is recognizable across multiple verticals. We have executed successfully against our core goals, and the business is stronger than it has ever been.

Now, I'll turn the floor over to Randy to give you a deeper understanding of our third quarter 2021 financials.

Randy?

RANDY STEWARD

Third Quarter 2021 Financial Results

Thank you, Doug. Good afternoon everyone. As Doug stated, we had a great quarter and we made, and continue to make, steady progress on our longer-term goals.

As reported, total revenues for the third quarter of 2021 were \$509.7 million, compared to \$476.1 million in the third quarter of 2020, achieving growth of 7% year-over-year, largely due to increased COVID-19 testing demand related to the Delta variant. Foreign currency exchange had a positive impact of \$1.0 million in the third quarter of 2021. The increase in total revenue was due to strong demand for all of our COVID products, especially our visually-read QuickVue At-Home OTC COVID-19 Test, which received EUA late in the first quarter of 2021. This sudden and sustained demand for at-home testing in the quarter resulted in a shift in SARS product mix relative to the third quarter of 2020, when we were only authorized to sell Sofia SARS antigen tests in the professional segment. In effect, we went from selling Sofia rapid antigen tests in the professional segment at a higher price point of about \$18 per test, to selling them in the professional segment for about \$13 per test and selling QuickVue tests to pharmacies, schools, employers, and government agencies, averaging approximately \$6 per test. Total SARS revenue in the quarter from all products was \$402.6 million as compared to \$375.7 million in the third quarter of last year, a growth of 7% year-over-year. In total, we sold over 45 million COVID tests in the third quarter of 2021 - 24.4 million of QuickVue, 16.4 million of Sofia and 4.1 million of all other tests.

Influenza revenue in the quarter was \$13.8 million versus \$9.0 million in the third quarter of last year. Included in the influenza revenue number for the quarter was \$4.3 million in Sofia ABC revenue. This combo product was not yet available in the third quarter of 2020. As we mentioned last quarter, we will be reporting the Sofia ABC revenue together with the flu revenue moving forward.

Rapid Immunoassay revenues were \$378.7 million in the third quarter of 2021, showing growth of 12% from the third quarter of 2020. Within this category, Sofia products were \$240.3 million, of which \$221.4 million were attributable to the Sofia SARS antigen tests. QuickVue product revenue in the third quarter of 2021 was \$137.5 million, of which \$131.4 million were attributable to the QuickVue SARS tests.

Inventory at distribution for our non-COVID products is low: flu, strep and RSV inventory was 35% below the same time last year. QuickVue and Sofia COVID tests at distribution were estimated at approximately 3 weeks demand as we entered the fourth quarter of 2021.

For the Cardiometabolic Immunoassay business, revenue was \$64.8 million in the third quarter of 2021, split, \$30.3 million from the Triage business, and \$34.5 million from the Beckman BNP business. With

respect to Triage, the U.S. and Europe realized good growth while China realized a year over year decline due to continued shipping and supply chain constraints. For the Beckman BNP business, the \$34.5 million in revenue included approximately an \$8.4 million payment related to the agreement entered into in July of this year. More on this topic shortly.

Revenue in the Specialized Diagnostic Solutions category increased 2% to \$11.4 million, driven by an increase in sales of our Complement products.

Our Molecular Diagnostic Solutions revenue was \$54.8 million in the third quarter of 2021, as we continue to realize continued demand for the Lyra SARS-CoV-2 products, which constituted \$43.5 million of the total. Solana[®] revenues grew to \$10.2 million in the third quarter of 2021, due to the incremental revenue from SARS-CoV-2 assays.

Gross profit in the third quarter of 2021 decreased to \$373.4 million, and gross margin was 73% of revenue for the three months ended September 30, 2021. This compares to gross profit of \$383.6 million, and 81% gross margin for the three months ended September 30, 2020. The decreased gross profit and gross margin were driven by a shift in

product mix - from selling primarily Sofia SARS in the professional segment, to selling large volumes of less profitable QuickVue COVID-19 tests.

On the spend side of the business, we continue to invest in R&D, specifically our Savanna platform. We are also spending in support of our longer-term initiatives, such as new Sofia assays that can leverage our large installed base of instruments and new markets, next-generation platforms and Sofia Q, to name a few. In the third quarter of 2021, R&D expense was \$23.7 million, a large portion of which was focused on Savanna instrument and cartridge development. For the full year, we're still expecting R&D expense to be approximately \$100 million.

Sales and marketing expense for the third quarter of 2021 increased to \$46.8 million, with the biggest driver being higher marketing and advertising spend associated with the launch of our QuickVue At-Home OTC COVID-19 Test. We also had increased freight expense as well as higher compensation costs driven by increased headcount and improved performance during the quarter. We will continue to invest in sales and marketing as we develop more strategic partnerships and increase marketing dollars in support of our broad product portfolio, as

well as promoting other markets that can significantly broaden our customer base.

G&A expense in the third quarter of 2021 increased by \$4.7 million to \$21.1 million, due to increased IT spend and higher compensation costs associated with an increased headcount as we continue to support the overall growth of the business. We expect G&A expense for the year to be approximately \$85 million.

As it relates to the provision for income taxes for the third quarter of 2021, we recorded \$65.7 million in income tax expense resulting in an effective tax rate of 23%. The tax provision was primarily impacted by higher pre-tax earnings for the quarter relative to the anticipated annual pre-tax earnings. We are currently estimating a full year effective tax rate of 22% for 2021, excluding any potential impact of legislation, which remains uncertain.

As of the end of September 2021, we had \$578.4 million in cash and cash equivalents. Year to date, the company invested \$223.5 million in capital expenditures, including the purchase of a third party's interest in our McKellar facility for \$28.9 million. The McKellar facility is strategically important to us as we invested heavily in automation, such

that by the end of this year, we expect a manufacturing capacity of 20 million Sofia tests per month. For the full year, we are expecting to spend approximately \$270.0 million on Capex, net of the NIH-RADx reimbursement. We expect to exit the year with a year-end cash balance in excess of \$800 million.

Relating to our Cardiometabolic business, in July 2021, we announced an agreement with Beckman Coulter on the BNP business and to settle outstanding litigation claims. I'd like to make a brief comment for modeling purposes. As consideration for the new agreement, Quidel will receive for calendar years 2022 through 2029 annual payments between \$70 million and \$75 million, dependent on sales volume of Beckman BNP assays. Such minimum and maximum payments will be pro-rated for 2021. The minimum payment is not dependent on sales of the Beckman assays. Quidel will continue to provide Beckman services in connection with the BNP business, including continued supply to Beckman of the Quidel antibody used in the manufacture of the BNP assay. The payments under the Master Agreement are expected to be EPS and cash flow neutral to the existing supply agreement through 2029. Quidel's reported EBITDA under the Master Agreement is expected to be similar to the EBITDA derived from the Beckman BNP business prior to entry into the Master Agreement. The Beckman

payments will be recorded as Cardiometabolic revenue in Quidel's financial statements.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. We had an excellent third quarter 2021 and we believe we're in good shape to achieve our growth objectives over the next few years. Thanks again for being on the call.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.